Public choice theory helps us see the difficulties that we are up against. Incumbents value arbitrary power and do not share the goals of the organization. There will be resistance against the reforms effort. It should not be surprising when (for instance) CCI employees are hostile to CCI reforms.

Summing up

When there is one practical error that has taken place in one government organization, we should generally resist the impulse of solving it. We should go deeper. Why did intelligent and well-meaning people make such a mistake? What was the structure of incentives that led them to this mistake? This leads us to the question of organization design.

Recruiting famous people or skilled people will not change the organization design. Building state capacity will not come out of hiring Indian Administrative Service (IAS) or non-IAS or private people.

Government works better when there is dispersion of power. A great deal of failure comes from a few individuals controlling excessive power. Checks and balances are key.

The drafting of law involves two key elements. First, law authorizes the coercion of private people. Second, the law must address the principal–agent problem between the citizen and the state. An array of checks and balances must be built in, when drafting the law, in order to address public choice concerns, to create accountability mechanisms.

Government departments in India are overloaded with many tasks and it is hard to reform this. ‘Agencification’ will help. Establish an organization outside the department, give it a clear objective, and hold it accountable. Departments must contract out, to such agencies, all technical functions which can be contracted out through well-specified laws. Once this process is complete, the work inside the department will consist of (a) participating in the governance of the external agencies, and solving the principal–agent